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Rockwool International A/S (ROCK.B.DK)

Q1 2021 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Thomas Harder

Director, Group Treasury & Investor Relations, Rockwool International A/S

Ladies and gentlemen, welcome to the conference call regarding Rockwool International's results for the first quarter of 2021. My name is Thomas Harder, I'm Director of Group Treasury and Investor Relations of Rockwool International. Today, I'm pleased to present CEO, Jens Birgersson and CFO, Kim Junge Andersen.

For the first part of the call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. Jens Birgersson will go through our presentation and give you an update on the results for the first quarter of 2021. Afterwards, we will be ready to answer all your good questions.

Before I hand over the words to Jens Birgersson, I must ask you to notice slide number 2 which is the forward-looking statement. Please be aware that this presentation contains uncertainties. Now, we can go to the next slide which is slide number 3. Jens Birgersson, I'll now hand over the word to you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Thank you, Thomas. Good morning, everyone. To sum up the quarter is relatively uneventful, it's a positive quarter. The year started a little bit slow. We have some segments are quite dependent on weather and you may recollect that in January, February, we have quite severe winter and especially Germany and France also up here for a while. So, we saw a quite slow stable start of the year. And then end of February, I will say March, you saw an acceleration across the board.

And we will go more into that but with few exceptions, we basically saw everything starting to come up. There are some small European countries that didn't really start to accelerate and Southeast Asia didn't really accelerate, still decline but apart from that, you just saw notably better business environment. From our side, we stepped into the year with a certain capacity plan and a certain run rate. And this is the time of the year where we tune the production not to demand but to a targeted stock curve and were on that and then the acceleration week-by-week came. And also the outlook that meant that we got quite busy with ramping up shifts – adding shifts, getting people back in on the production lines. And in the meantime we pulled down some stops to deliver the market in March.

Notable also was compared to what we saw in November, December for the year on raw material cost and price, we had an outlook that was relatively moderate and a little bit of a slower restart, and then it started off with this input material to plastics that took a jump MDI I think 70%, 80% would – lot of raw material increases, gas, electricity has started to happen very, very suddenly. So we took a relook at our pricing strategy and we started to get busy with adjusting that.

To the two businesses, Systems division and Insulation, good margin on insulation in spite of the inflationary effects and not so much price in the top line. But then on Systems division, they were a little bit more spared in terms of raw material increases and we also have some price in the market. So, you could see more of that coming into the bottom line.

So, that's fundamentally the summary of the quarter, more growth towards the end of the quarter. And then the margin 13.3%, we are very happy with that. That also covers depreciation and depreciation increase of €5 million. On EBITDA margin, you don't see that but here obviously have it, so happy with both the top line and the bottom line.

We move to slide 4. Growth relatively evenly spread between Insulation and System division, so 7% and 5.5%, 6%, quite some big currency effects. Dollar, ruble will be the main ones. But generally, a good demand in both businesses and higher demand towards the end of the quarter.

We take next slide. Western Europe, starting in the north include also UK. The UK kept going very strong. In the Nordics, Denmark is clearly the strongest market. Finland also did really well. Sweden, Norway a little bit slower but growing. And then in terms of continued trends with the super bonus, we saw Italy just keep growing at a very high rate.

On the more Central European countries, Germany clearly had the slowest start but they also had the worst winter. And then in March, we saw very encouraging growth. Eastern Europe, Russia, good healthy business climate, and we grew with it and we are highly [ph] loaded there so limit (00:05:55) to how much we can grow. Romania, the new factory, it has – had a very good start up. We are ahead of our growth schedule and it's already providing really good returns. So, we are happy with that. And it produces well, so it was nice, big currency effect from the ruble.

North America, Canada healthy, US booming, absolutely booming. And here, we simply can't deliver more than we did. We are loaded. And next month – we are starting our tests over this weekend. But next month, we start to kind of seriously do hot commissioning of the new factory in West Virginia, and midyear early third quarter, we should be starting to produce there. And that's absolutely needed now to get the delivery times down again to an acceptable level. So, if we would have had the factory half year early would be nice, but at least it appears very timely now and is on track to get up and running.

Profitability, slide 6, EBIT margin, I commented already, and there you have the depreciation effect. Good over absorption of costs, fixed costs down. Obviously, we don't have much travel at the moment still run in most countries, less than half of the white collars in the office in most places, and generally, across the low productivity improvements across the board. We also had some effects. We didn't see much on gas increases for example in Q1. So, all good on that side.

Profitability by business segment I already commented slide 7. Good performance by insulation to cover some of those increases of raw material cost. And yes, we have some price in there but very pleasingly good productivity improvements and good cost control. So, that kept that double digit. And then, the big step up in Systems division 7% growth. Good cost control. Some price increases in there. And then they haven't seen much raw material increases. So, they get the full over absorption on the extra volume. So, that's why they came up.

Some mix in it but not really. It was growth across all businesses very pleasing. Q1 investment new for today, I think we are now showing you the green part. We did €17 million of sustainability and Kim has plotted this backwards. And in our calls later, we can discuss it a bit more. But I just want to explain what it is. I mean maintenance is to keep the plants running and maintain them just like servicing your car.

Capacity is self-explanatory adding new capacity. So, what's in this sustainability investment green area? Basically, we have defined it that when investment or CapEx is mostly purpose towards meeting one of our six

sustainability development goals, then we put it in here. So, that means that if we were to change like we did in Moss, the melting but we don't increase the capacity but it works, that's green investment.

And I give you some example to just make it a bit tangible. For example, in a factory heat recovery, heat exchangers connecting to local district heating grid that sustainability but also safety for example safety rules, fire safety installations, safety in any respect that sustainability because we have a homework that would be running a hazardous business.

Reduction of CO2 emissions, what we did in the Nordics in every respect or other emissions, afterburners, curing upgrades, et cetera, that serves to reduce emissions. And then you have the waste treatment. When we invest in something where we can say put more waste into our plants, reduce landfill, or invest to reclaim more waste in the process from other industry. That's also green investment.

And then the whole area around water – saving water, circularity of water, not having it evaporating. Very often, those investments can be quite expensive. Stopping the leaks is not very expensive, but when you start to put in circular system to save water in a country where you barely doesn't pay for municipal water. Some of those investments are great in terms of water saving but from a return perspective, they are not impressive. So, that's how the green investments works and how we classified it. And Kim and Thomas will explain more later on.

Cash flow, nothing notable on that. I think there basically two effects, a bit less CapEx, and then with the acceleration in the business, to kind of rundown of inventory freed up cash. I would prefer to cap the inventory, but on the other hand, I also love the fact that the market took off. So, that's why the cash came up a bit. We always have negative cash flow at the beginning of the year, but it's less negative than normal for a very positive reason.

Outlook, we changed that before this. We haven't – we assessed that before we issued the last announcement, of course, and nothing really has changed. So, [ph] double digit (00:12:45) top line 10% to 12%, EBIT margin around 12%, and the investment level around €730 million. So, that's the same as we said also two weeks back.

With that, I hand over for questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Our first question comes from Brijesh Siya from HSBC. Please go ahead.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Thank you. Good morning all. I have two questions. So, the first one is on the guidance. Your 10% to 12% total growth, if you could split that into volume and price? And related to that, if you can even let us know how that upgrade is looking in terms of market share gain and in terms of underlying market growth?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Okay. So, Brijesh, Jens here. Good morning. I never give the volume and price. And I will not do that at this time either. But we have not factored in. We still have a moderate price increase assumption. We have the inflationary pressures to the raw material price increases. And I still look at this year that we will increase price a little bit more than when we talked say before Christmas, because inflation was low. But I see the compensation of the inflation as a mix of productivity improvements and price, so still have a moderate price assumption. There's [ph] no decrease (00:14:51). So it's very proportional to the volume growth. So that's on the volume.

And then on the market gain, I see that on flat roof for example, you have quite high price increases on the plastic foam and that means that more business is going to come to stone wool. So due to the pricing strategy and that the plastic foams have gotten impacted much more severely, I think, I don't know for sure, but I suspect so, by raw material increases, I think that we haven't factored in a certain number, but I suspect that we will see stone wool and rock wool due to our capacity availability get some market share due to those factors. But it's upside on positive, but we haven't factored in anything dramatic in that. Okay. Does that answer your question, Brijesh?

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

So, you mean to say that this 10% to 12% growth, it's mostly underlying market growth and you still haven't factored in any of these market share gain?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Yeah. But it's a little bit hard to say because the market growth of the total insulation market. I look into what we see in stone wool. And – but if you then go back and look at the total market mineral wool plus the plastic foam, I don't know if that market would grow 10% to 12%. But I see that with our run rate and our forecast I definitely see that we should be able to grow 10% to 12%. But I suspect that you will see a lower growth in the plastic foam due to how they have been impacted on raw materials. And that is in the way of market share growth but it's just that the composition of the market changed due to the cost structures this year. Okay.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Understood. And the next one is on your competition position. I think you have pricing pressure in key markets like Poland, France, Germany, Hungary. Can you – or could you please elaborate on that. Because of

this change in dynamics you are seeing less pressure in those markets or anything different you see from what it was in Q4.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

I think maybe overriding comment is that in the previous calls, we have spoken a lot about the extra capacity in Poland in stone wool. We talked for a while about the new factory in Hungary, but it seems to be delayed again from a competitor there, but we have the extra capacity in Poland. So I would say that the concerns for the big [ph] bathtub (00:18:10) about getting finding customers for the factories, that has been reduced due to that the market has started up much more positive than maybe we predicted six months back.

And then recollect also that what they do in Italy, that seems to be going very, very strong and we still have quite a long run rate of the EU money or the renovation and the energy efficiency coming. And I don't know how many of you got your vaccines already, but we already see some level of opening up. And most of you probably, of course, you in the UK have it, but here in mainland Europe, most of us haven't gotten it, so there's still a positive effect there. So, I think fundamentally those markers looks a bit better because underlying demand across the board is better, okay?

Brijesh Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

All right. Thank you very much.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah.

Operator: Thank you. Our next question comes from Yves Bromehead from Exane BNP Paribas. Please go ahead.

Yves Bromehead*Analyst, Exane BNP Paribas*

Q

Good morning, gentlemen. Thank you for taking my question. I guess my first one is on the capacity utilization with the level of growth that you're seeing in the increased outlook on the top line. Can you maybe point us towards a comparison with the peak of 2018? Are we in a situation where with the low stock environments were sort of back to where we started before you have all those capacity coming through? That would be my first question.

My second question is on the fixed costs. If we look at the personnel cost and the amount or the number of employees in the business in Q1, there isn't really any addition to that versus Q4 or even the average of 2020. So I was curious to understand if you need to increase the amount of head count in the business as you're lapping through the year with the new capacity coming in the US or if the current run rate is the one we should assume?

And then my final question – sorry, you want to respond to those and then I'll come back to the last one later?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

No. Yves, I think we do – you also ask the three question, man, and after that we go to two question. So, list your third question.

Yves Bromehead

Analyst, Exane BNP Paribas

Q

All right. Sorry, and the last one on CapEx, just trying to understand with the amount of demand that you're seeing here, how should we think about potential future growth investments you've got one plant in France, which you haven't really announced anything on. You've got one in Sweden. What's next after that?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Okay.

Yves Bromehead

Analyst, Exane BNP Paribas

Q

Thank you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

So, let's start with capacity. Compared to 2018, we have Romania up and running. We have done several investment on the System division. We have Rockfon expanding capacity. We have West Virginia now starting next month. We have done work in the UK. We have done a couple of step-ups in Poland, and we have the Norberg. So, we have a more capacity in 2018, so that's really good news, and we're going to need it. The capacity we see now with one exception, we can't supply the market in the US at the moment because we need a new factory. So, delivery times are 140 days but we are solving that hopefully in the coming months.

The challenge in Europe, I mean it's doing well, but fundamentally that we go from in some factories running Monday to Friday, 5/24 or close to that, a three-shift pattern and now we need to go to 7/24.

And that always a reset, so – and we are [ph] blissed (00:22:42) with that and supply is tighter in some corners, but fundamentally we have the capacity to do it. And then there could some areas where we need to ship further and we have the normal discussion about logistic cost and that. But it's more the derivative of the curve. How quickly it grew, that creates some challenges. But we are doing pretty well on it and it's all hands on deck. So taking that back to the head count, if you look for example in the US, we have hired 90% of the people we will need there, once we start up and if we increase the shift, we need more.

So, for most of those we have hired. We did reduce a couple of hundred jobs last year on the white collar side because we shipped for example more into Eastern Europe. We do some improvements in the structures, and some of those we plan to hire back. But then also when we go from say 5/24 in a factory to 7/24, you're going to see an increased head count. But if you then relate the personnel expense, blue and white collar in relation to the top-line, nothing dramatic will happen. We will grow more. We need more hands. We need more sales. We need a few more things.

But you can be relatively sure that you see a good productivity improvement and so our revenue per employee this year compared – 2019 and this year, you will not see a worsening this year as I predicted even though we have several new factories starting up and some of them obviously West Virginia will not – absolutely not be full

this year. It will run on very low level in relation to the capacity. And yet we have a lot of staff and overhead there. But in spite of that, I think we have a good productivity here, okay.

Then, on CapEx, we have a plan and I don't want to run ahead, but we have a couple of macro trends. If I look at the economics of Europe and US, and I cannot tell too much about the business cycle. But my simple take on it is we could be relatively sure that we have 18 to 24 months of good business, good economic cycle. I believe that's a fair assumption, could be longer [ph] versus (00:25:20) the stimulus packages all the rest. But I think we have window of happy market.

What happens after that to the general business, I can't say. I mean, you would know better than me. I've never been through such a situation. But we still have the macro drivers for our business. And that is the climate challenge and saving energy and renovating houses and creating jobs. So I think that one is a long trend. And then we look at the long trends into our System division, okay, Rockfon for example is growing but offices maybe not quite as before, the other type of business is growing.

So I think we have macro trends on both sides. And that means that – and we will have further discussions on that. That combined with fuel transition over the next 10 years to meet our science-based target, that means we are probably more geared to staying on CapEx level that is not – you're not going to see €200 million from us. Because with the size of the business we are now to grow, we need to build plants and we need to do a fuel transitions and we need to do the green investment, and we need to maintain and that needs to keep going. Okay.

I think that covered your questions, Yves?

Yves Bromehead

Analyst, Exane BNP Paribas

Thank you very much.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Okay. Thank you.

Operator: Our next question comes from Laurits Kjærgaard from ABG. Please go ahead.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Hi Jens, Kim and Thomas. Thank you for taking my question and congratulations on your preannounced results. I was wondering about the comfortability in the double-digit growth that you're guiding now. You mentioned you saw an uneventful quarter with 6% organic growth in Q1. And it's no secret that your business has quite low or short visibility even in your markets which you've also mentioned before, Jens. So, in addition to that, we have quite low easy comparables for – or not easy comparables for the second half of 2021. I was wondering how you could talk about your comfortability in this 10% to 12% organic growth given that you in the past have said that you have quite low visibility. Thank you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. I obviously don't have a big backlog. But I see the order activity. We see the projects. We have the stimuli. We're all going to get vaccines. I feel comfortable that 2021 is a better year than 2019, yeah.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Okay. That makes a great sense.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

[indiscernible] (00:28:06) and the trends for our products, insulation, not only stone wool. They are all on the positive side plus this post-cage or post-war experience, I believe we have a better year than 2019 on the top line.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Could you be on the capital side than on your guidance?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

The guidance as you know that it's not like Kim and I sit and no, we look at run rates and we have done this in our quite a few quarters together. So, we do the best estimate. And we don't want to mess around and downgrade. I don't think we even did that at the end last year. We delivered our guidance at the end I think almost. But this is what we believe today, okay.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Okay. And also thank you for the CapEx split, very appreciated. I was just wondering about the new capacity. Can you share about the top-line contribution that you're now expecting from, for example, Jefferson County and perhaps Norberg and Romania which you didn't have last year. So, what I'm essentially asking is what's your assumption about the underlying growth of the new volumes that you now have versus your expectations and your previous guidance from a new capacity to your considerations now that you're a little bit further along on for example Jefferson County?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

So, 100,000 tonnes, €100 million, that's roughly plus minus, obviously it is different for System division, but that's the rough view. And we still have some capacity in Norberg to grow with obviously the whole US plant. And we won't even touch that this year because simply to ramp it up so quickly. Romania is already quite far along. So, it helps. But I will say like this we have capacity in Rockwool so that we can deliver that growth. And we could also grow again next year for sure, okay.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

The €100 million is top-line contribution from West Virginia in 2021?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

No, I'm not saying that. I'm talking about the general rule. If you add 100,000 tonnes capacity, you should probably get around €100 million top-line when you're fully loaded it. But I did make a statement on by when we fully loaded it because we build a factory to build it up and it should last for three, four years. It's not smart if we build a factory in the US in two and a half years and it fills up in one year and then we need another one and we're having a shortage. So, it's a big factory we built but just the relation is roughly that.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Q

But have you changed your assumption about how much contribution you have 2021 comparative to when you gave your previous guidance?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

No. But we had a lower top-line last time. We didn't change so much in the US because US was already booming when we had...

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Q

Okay.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

...the last guidance, yeah.

Laurits Kjærgaard

Analyst, ABG Sundal Collier ASA (Denmark)

Q

Super. Thank you very much.

Operator: Thank you. Our next question comes from Yassine Touahri from On Field Research. Please go ahead.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Yes. So, a couple of questions. So, first, you said that you anticipate a pressure on the production capacity in the coming high season quarter. Do you think that this is going to be the case for other mineral wool player? And are you considering second price increases in this environment which is where you see a lot of inflation?

Then, my second question would be on – if I look at the CapEx as a percentage of sales in 2021, is probably going to be close to 13%, 14% of sales versus an average of 10% of sales in the past 20 years. When we look at the next 10 years, do you think the CapEx as a percentage of sales is going to be closer to the 14% in 2021, or closer to what we've seen in the past two decades?

And then, my last...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Thanks...

Yassine Touahri

Analyst, On Field Investment Research LLP

Sorry.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Okay. Should I answer those?

Yassine Touahri

Analyst, On Field Investment Research LLP

Yes.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. So, on the capacity, I think I don't track the loading. I obviously don't know how many ships are run on that. But I think typical for the industry is that when acceleration happened that quickly and they are in the same market, I think everyone will have some – I mean you don't change from 5/24 to 7/24 in the factory overnight. Some people might already have been on that and then they just sit there and that's what they can produce and they maybe can improve it a bit with portfolio they run in the factory and what segments they focus on, on that.

So all of that would be going on, but I think everyone will be such a quick incline and the fact that the prices of the foam have gone up. I think in mineral wool, generally, you will see price increases and you will see some capacity challenges while you step up to full 100% capacity.

And remember, some of our factories, they are running on 100% for a period of the year – every year because we love producing and shipping immediately it goes out because it's a bulk. We don't need – we don't want to put too much stock. But now, I think everyone will realize that you might have to stay on absolutely 100% [ph] at longer plan (00:34:15) 7/24. And then 7/24, you can also – depending on when you did your maintenance, if you did your maintenance, the bigger ones last year the 7/24 can be run for a bigger portion of the year. And that's very hard to judge how people plan that. We certainly tried to do maintenance last year [indiscernible] (00:34:39) we could get people to do it, so that shouldn't impact us negatively this year.

Then on the second price increase, we have some businesses where we have annual cycle, but I would say most of our businesses have every six months an adjustment. So, that's absolutely open and in some places, we have already decided to do second – June price increase, or August. All the countries are a bit different, the place is different, so absolutely open for doing that and it's already happening in some businesses, that have already been [ph] announced (00:35:26) in some businesses.

Then on the CapEx. We invest against the growth curve. And we also need to increase our investments in the green sustainability of fuel transition. And we didn't do that historically. We didn't do fuel transition projects. To give an example on the green investments, historically, we built a certain type of melter and when it ran out we replaced it.

And so, I don't want to answer about 13% or 14% or 11% or 12%. But the thing I would say is I don't see if the growth is – if we are growing and we have this into 2034 to reach the sustainability goals and the science-based

targets, we have set but we will go below that, okay. And then I said at the last call, Yassine, I think you are new to this call. Have we spoken before?

Yassine Touahri

Analyst, On Field Investment Research LLP

Yes. [ph] I haven't spoken yet (00:36:32)

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Okay. But we have said also that Kim and I, we are considering when we get out of COVID and corona and all the rest and we see some stability again. But we throw some extra clarity on that, so that you know a little bit more. But at the moment, in quite a turbulent growth environment and we are still working on technologies. We don't want to go into further details because we think we would confuse you.

Yassine Touahri

Analyst, On Field Investment Research LLP

And then my last question would be I think part of the renovation at least in housing is coming from the fact that people are staying at home and are doing some renovation because they've got nothing else to do. Do you believe that as the population gets vaccinated in the US and in Europe, we could see [ph] vessel (00:37:30) and people spending more money on travel and leisure and a slowdown in activity next year?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

I think what you have, you have the stimuli money that goes into delivering countries' targets. So I think renovation have every potential to stay on a high level although there is some in cottages and those home personal renovation might go down. I think we're going to see a busy construction industry. I think we will see money going into renovation. We ourselves are renovating our offices now around the world, running for some really nice projects. But I think you're going to see a competition between newbuild and for newbuilds and labor for renovation. And it's always hard to pitch who wins of those two. And I think it will be running on quite high capacity utilization.

So I don't see at the moment at least a risk that it falls back very much due to that we go back to work. I think it's the balance between newbuild on the other side and where the renovation gets arms and legs and knee.

Yassine Touahri

Analyst, On Field Investment Research LLP

Thank you very much. That's very clear.

Operator: Thank you. Our next question comes from Mikael Petersen from SEB. Please go ahead.

Mikael Kornved Petersen

Analyst, SEB Enskilda (Denmark)

Hi. Thank you for taking my question. You were talking about March, where you saw like an acceleration of activity and so on. I'm not sure if you can talk a little bit about how it looked in April and maybe in May, if you've seen the same trend of countries recovering and activities is picking up as well.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah. So, Mikael, I'm not going to comment April and May. That would be a mistake by me to do that. We never do. But I basically saw – I mean, let's say like this, we saw January and February depressed by – I think at least for us by weather. Maybe in January nothing much happened, but in February, definitely a certain weather effect. And then, in March, the business stepped up. And if you look at our guidance, mathematics that means we are not forecasting that the market suddenly stepped back on January and February there.

Mikael Kornved Petersen*Analyst, SEB Enskilda (Denmark)*

Q

Okay. Thank you. And then, I have a second question that's regarding the pricing in the US. You're talking about you kind of delivered more in the US assuming that utilization must be high. Can you talk a little bit about how the pricing environment is in the US if the demand is so high? Are you able to increase prices throughout the year? Or how do you view the current competitive environment over there?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

You can – I mean, glass wool is increasing prices. And you can increase prices throughout the year, yes.

Mikael Kornved Petersen*Analyst, SEB Enskilda (Denmark)*

Q

All right. Thank you.

Operator: Our next question comes from Frans Høyer from Handelsbanken. Please go ahead.

Frans Høyer*Analyst, Svenska Handelsbanken AB*

Q

Yeah. Good morning. Thank you very much. I was interested in your comments regarding the dynamic between oil prices, foam prices growing up and is spilling over into positively over into the stone wool demand. And I was wondering is this the normal dynamic that you're talking about here or are we reaching some sort of inflection point where this dynamic gets stronger?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

I think I'm not an expert on the downturn oil and gas. I worked two years in that industry. But what I absorbed from it is that after a period of low business, that industry often see a reset of the price, it could be a production problem, shortage whatever. Something happens to demand if there is a supply short or mismatch between demand and then the prices on – in this case, I mean the two [ph] I know is (00:42:03) one of the materials that goes into polystyrene and then the MDI. And they jumped up due to a number of factors with 70%, 80% over the top three, four months.

And we have seen that happened before and we have also seen it normalized. And I don't think we should expect that to stay forever. It depends of course what happens with the overall economic cycle. If all different business segments go well also in other industries, then you can expect that the price level will not go back very quickly. But I'm not an expert on that.

Steel prices, for example, when I speak to steel guys, they say, it will stay high until the next crisis. That's what they predict. But I can't really swear. So, we have a price effect now. But then I think the bigger effect on the one I'm more interested in, this is good of course when we get this business. But the one I'm more interested in is that we stopped using single use plastics in insulated buildings.

That is the trend and we see in the UK with the fire requirements where you talk not only about insulation, you start to look at insulation value, fire, recyclability, and end of life CO2 emissions. Those four factors, that's the one I care about, and that we don't only talk about raw materials as any insulation material, it's much more than that. And that speaks in our favor and I want that trend to go and I want people to realize, so that's how we should look at it to meet the climate challenges, yeah.

Frans Høyer*Analyst, Svenska Handelsbanken AB*

Q

Okay. Thank you. On the issue of the moving from five to seven day, three shifts in seven days. Is that something that is – I mean I guess you've been running seven days in parts of the operation already and but it sounded like there is a shift in the percentage of output that is coming from seven shifts as opposed to five shifts over the next couple of quarters.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah, so how we run the business, we have the negative cash flow in the first quarter. We typically use the low months to set the stock curve and then we kind of optimize the stock curve with the demand for the year to optimal way of running a factory. And we also want the factories to have a bit extra capacity. That's how we go into January, February and March and we stay on this stock curve.

And then now demand happen very quickly, the increase. Then we draw down the stock, you saw it on the [indiscernible] (00:45:06) and then of course we need to catch up with the step-up before we run out of stock. And we can't stock every – we have products made to order, and we have products that you can make the stock. So, it's a bit of a – we know how to do this, but it's not entirely elementary to figure it out. But we have very strong processes for that.

And here we needed to do it. And it's nothing unusual. But then – and we also have labor population. We train people on the outside with the mix of permanent employees, people that actually likes to come in and work only during high seasons, they have another job during low. So we have that set up. The challenge this time is the speed of it. We need to be quick. And the other is that whenever you are close to car manufacturing. The guys don't like me to simplify this much. But that's my greatest simplification.

If you have car factories around and suddenly everyone starts to buy a lot of cars, then it takes a bit longer to ramp up, okay. Because when the car companies hire people, they hire people. They're good at it and they pay much more when they really need it than when they barely need it. So, we have some of those. But that's all normal stuff that we go through, nothing unusual. And we love running the plants 7/24. But, of course, we don't want to be with a factory footprint where every factory run on that because that means we will not have enough to cover next year's growth.

Frans Høyer*Analyst, Svenska Handelsbanken AB*

Q

Yeah. But it sounds like there is a step change either late in Q1 or into Q2.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

No. But the ramp up was quick. Because...

Frans Høyer*Analyst, Svenska Handelsbanken AB*

Q

Yeah.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

...we had delivered on the stock curve and we have the ships [ph] down (00:47:03). And then instead of a 3% to 5%, we end up with double that growth at least. That, of course, means that we need to step up the underlying run rate of the factory. And that, as I said, was broad-based increase which means they are – US, we ran full already but in some of the others, many, many factories got touched. So we had to put all hands on deck to plan how we do that.

And then as you know from before, we had the philosophy that our regular customers even if we haven't the capacity just around the corner, we will ship in material and we make sure that we do our utmost to keep them whole, okay. And if that means that we have to ship from Denmark to Berlin for a few weeks and we do that. That's obviously our job, okay.

Frans Høyer*Analyst, Svenska Handelsbanken AB*

Q

Thank you.

Operator: Thank you. Our next question comes from Manish Beria from Societe Generale. Please go ahead.

Manish Beria*Analyst, Societe Generale Global Solution Centre Pvt Ltd.*

Q

Yeah. So, good morning. Congratulation on the very good quarterly update and also the guidance. I have three actually. The first one is on the cost of goods sold that I see, I mean the pricing inflation impact of 5% there, so basically the price impact of COGS has led to 5% increase there. So can you just first confirm that if I'm right in Q1, it's 5%? The second is, how do you see, because the raw mats, energy cost is rising quite fast. So, how do you see for the rest of the year these COGS inflation? So this is the first question.

The second one, I wanted to just see your comment on Knauf plant of France. So, do you see the capacity ramp up there? What is the competition dynamics? I mean are they too aggressive there?

And the third one I also wanted to confirm on your CapEx. You just cede, I mean but I didn't catch fully. So, do you mean like the CapEx could be something like 12%, 13% for the next decade because the demand is going to be very, very good for the rock wool industry?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

So, I will take question two and three. And then, Kim will take the first one. So, I'll start, the competitor's plant in France hasn't changed the market very much because the market is doing quite well. And as I mentioned in my

kind of broader description due to the increased demand everywhere, those new plants and also our own increased capacity that we have in Poland and Southern Germany, I think the impact in the market has been [ph] that (00:50:00) we were probably fortunate to have them to be able to deliver the stone wool. So that's my observation.

Then on the CapEx, I don't want to give a percentage. I said I come back but I would – with the green agenda we have, I caution against lowering the 11%. But then I don't want to say if it's 12% or 13% or what it is. So I mean we're going to stabilize the situation but we need to keep investing in capacity as the business keeps growing. So, that's as much as I can reveal down the numbers.

On the cost of goods sold and energy costs, et cetera, I hand that over to Kim.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

Yeah. Thank you very much, Manish. As you know, on our hedging of input cost, we do buy forward both energy and coke one quarter. And for the first quarter, the situation was that we – in fact, the coke prices did not increase over last year. But all other energy costs, electricity, gas, and the oil-related raw materials that we are using, plastic, films and binders, they did increase. And we do expect they will increase also for the remaining part of the year. So, I think you can expect the inflationary – you can say the impact of that will be more visible from second quarter onwards.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt Ltd.

Q

And this 5% calculation for Q1 is correct, right? I mean on the COGS just from the inflation part.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

No. Not on the COGS. As said, we secure the COGS prices a quarter – a quarter out. So, the COGS price for us was secured in Q4 last year, and there was no meaningful inflation on the coke prices compared to last year on our quarter one.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt Ltd.

Q

Because when I look at your financial, I mean the COGS is up 7.8% Y-o-Y. Your revenue is up 3.3%. So, I do the difference 5% to get the pricing inflation there.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

The COGS not the coke. I was thinking about the coke itself. No. The cost of goods sold is up, but it's also about a mix. But it is up in Q1 but not as much as 5%. So, I think you can expect more increases in cost of goods sold going forward. I think the first quarter increase in cost of goods sold was more a matter of mix than anything else.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt Ltd.

Q

Okay. Okay. I understand. And you see I mean when the COGS will increase for the rest of the year, probably the pricing will also be more dynamic. So, we shouldn't worry so much about inflation, right?

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

Yeah...

A

Manish Beria*Analyst, Societe Generale Global Solution Centre Pvt Ltd.*

Okay.

Q

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

...that's our base...

A

Manish Beria*Analyst, Societe Generale Global Solution Centre Pvt Ltd.*

Okay.

Q

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

...assumption, yes.

A

Manish Beria*Analyst, Societe Generale Global Solution Centre Pvt Ltd.*

Yeah. Thank you.

Q

Operator: Our next question comes from Claus Almer from Nordea. Please go ahead.**Claus Almer***Analyst, Nordea Markets*

Thank you. Yeah. Sorry about circling back to some of the former questions, but there's been a lot of question regarding the cost inflation. So, maybe you could say how much should you increase your ASP this year to fully compensate the cost inflation from a full year perspective? That would be the first question.

Q

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

But I didn't even say I will do it only with price. So we're talking with the price effect, my price, input material effect, and my productivity improvement, we should compensate [ph] for that (00:53:39) all. It's all good for us. And then for me to sit and guide and we talked about the second price increase. I said, I want to be rational and quite predictable with the customer but I also had my options. Because we could also see situation that inflation goes up even more than we have in our current forecast, so I can't answer that. But in terms of dynamic with the levers I have, we should be able to manage it, okay. So that's as much as I can say, Claus.

A

And I know that then creates a problem in the spreadsheet because we don't know exactly what the number is, but if you know the cost and the productivity improvement, yes, you might see slight margin impact but you'll have our bottom line guidance.

Claus Almer*Analyst, Nordea Markets*

Q

Sure. Okay. I was mostly talking about how it is today and then yes, obviously, there could be more inflations later this year, but it was more like how does it look today? But I guess you were not going to get it closure.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

No. But what I'm saying is that we'll manage it with productivity improvements and price. It happened suddenly and we deal with it and we have extremely well trained organization that working with that. And I hope the customers also know that we are not going overboard. We are doing it professionally and that's our intention also this time, and so far, so good.

Claus Almer*Analyst, Nordea Markets*

Q

Maybe, Jens, if I can ask in another way. So the way you are steering your pricing, you must have ample headroom versus foam. So are you just – you are just increasing the prices accordingly to inflation. But there's a really good room for raising prices because foam is becoming so much more expensive than stone wool, but you don't want to take fully advantage of that situation?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah. It's quite a tricky question. I mean, fundamentally, we apply market-based pricing, the value of the product. But we want to be a reliable player year-after-year-after-year. In 2007-2008 Rockwool raised prices with 20%-25%. I don't want to do that. Customers don't forgive you. It's not serious business to me, at least not how I see it for Rockwool with what we are.

So we are open to that inflation might change compared to the quite high assumption we have now. It might be higher. I don't think it will be lower. And then we might have to adjust and in some markets also the plan is that we have a first price increase that is in place and second is quite normal for the drumbeat in the country. So that's how we work it. And then plus/minus €10 million in the balance between price, raw material cost, productivity. We have many actions in the company where we work on cost, productivity, et cetera.

So, we steer it as we along in the year. But at the end we want good, sound market-based pricing, yeah. And we want to not do stupid things in one year, okay.

Claus Almer*Analyst, Nordea Markets*

Q

That makes a lot of sense. And then, Jens, sorry again about another question about CapEx. You said something about €200 million. Was that meant this will be the low level or it will be below €200 million. How should we...

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

What I said is with our growth now we're getting – we're company between €2.5 billion and €3 billion. I'm just saying that we had 11% historically. We did the 30-year study three years back [indiscernible] (00:57:47). I'm just saying you're not going to get down. Look at last year, we didn't go down €200 million CapEx. We just kept working our investment as much as we could.

But it wasn't so easy during corona. So, I just gave an example that don't expect that will be down to €200,000 because, A, we are bigger company. We keep growing. Yes, some year, we might not be growing so much like last year and last time was 2008 I think Lehman Brothers, we didn't grow – otherwise we grow. And we have the sustainability. So, we need to invest. So we're not going to be on the €200 million level. That's what I said.

Claus Almer

Analyst, Nordea Markets

Sure. Okay. Just want to...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

So, it was not the number you should use. It's just don't hope for us getting down to those level because the growth is there. The sustainability is there. And we just need to keep investing in the business.

Claus Almer

Analyst, Nordea Markets

Sure. Okay. So, my question regarding CapEx is more, how are you really working with CapEx. So, we know it takes two or three years to do new plants. And you are talking about 18 to 24 months of good activity and who knows what's going to happen after that. But I guess in two years down the road, you will not have a lot of available capacity left. So, how are you planning CapEx in two, three, four years down the road?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. We have – I mean we've worked a lot with that. And you can say like this, the ambition is and that's hard when the market grows this March. The ambition is that you plan scenarios with the CapEx [ph] and the (00:59:35) capacity and you draw curves and all the rest. But you want to have a float so that you have enough capacity to supply also optimistic market growth scenario and that we have enough capacity so that we can switch a plant off and do a fuel transition. So, my reasoning is I always want to have a bit of spare capacity.

Claus Almer

Analyst, Nordea Markets

But I guess that means...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. That means we trigger investments well in advance and that's what we intend to continue to do.

Claus Almer

Analyst, Nordea Markets

Okay. So, we're getting close to that point where you need to do the next steps?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. But we are doing the next steps all the time. We are just building big thing for Rockfon. We are building for Grodan. We are starting up the [ph] second on (01:00:35) the two big plants. I mean we keep doing it all the time.

And then, of course, we don't necessarily announce everything we work on. But the idea is to keep the capacity buffer going forward. That's the objective.

Claus Almer*Analyst, Nordea Markets*

Okay. Thank you so much and congratulation with the strong Q1.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

Thank you. Claus. Thank you.

Operator: Our next question comes from Cedar Ekblom from Morgan Stanley. Please go ahead.

Cedar Ekblom*Analyst, Morgan Stanley & Co. International Plc*

Thanks very much. Hi, guys. I've got a few follow-up questions on the growth story. Can you give us an understanding of where at the end of this year you would expect all of the new capacity that you've added in the group to be fully ramped up? And if not, how much incremental capacity do you think you'd have spare into 2022 and that's just in terms of thinking about local currency growth potential into next year if we have a more normalized demand picture?

And the second question is would you be willing to give us some detail on how much of your 10% to 12% local currency growth is driven by new capacity coming online this year, new volumes so we can get an understanding of your underlying market growth?

And then the third question is how easy is it to squeeze incremental volumes out of your footprint? Is your asset base such that you actually have to make quite large investments on a sort of go-forward basis or can we think about squeezing out an incremental 3% to 5% volumes every year from brownfield perspective and not needing to make those fairly lumpy investments? Thank you.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

Cedar, incredibly good questions and incredibly difficult questions you have asked. Because we are confined in what we released, but fundamentally, when we look at the stone wool plant, over the last three, four years, we have worked very systematically on raising the maximum capacity of the plants with – quite significantly without big investments. So that's the whole culture and the methodology we work with. You can't do 3% to 4% to 5% every year forever. But we have done very good progress in the last years and there's still some more to do.

Then on the new capacity, I mean, the ones coming on, Germany was a big one, West Virginia is the big one, Romania was a half-size one, and then in Poland, you can say all of it like a big one, I guess, UK somewhere in between, but we almost doubled the capacity there. So, those are the ones we have been doing and they are there now. And then we are doing in China, we're moving one factory and that doesn't really increase our capacity, but we have capacity in China. It's not the core market. So, those are the main moves we are doing, and that is aimed at staying ahead of the game so that we have within the horizon that we can come out with more capacity if the market grows.

But then, of course, if you have a market that grows 10%, 15% two years in a row, we are in trouble because we don't have that much spare capacity with this type quite asset intensive plants that we have. But we have been very good at getting more out of our plants. But – so that I guess that's as much as I can say on those questions.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

And you're not going to give us any detail on how much of the 10% to 12% is new volumes.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Come again on that one?

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

So, your guidance this year of 10% to 12% local currency revenue growth, would you be willing to give us some color on how much of that number comes from adding volumes in the US, adding volumes in Germany, Poland, et cetera?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

We are the only company in this industry that talk about countries, so we don't give it, for competitive reasons, we don't see a benefit of giving it because no one else [ph] give this and (01:05:20) we don't want to give that.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

Cedar, we have also [indiscernible] (01:05:22) talked about once we start up the new factories, obviously, it is an advantage to get a load on those as fast as we can and then we take out shifts if there is not the demand just in a season. We take out shifts in some of our existing factories, so we don't track sort of what is new capacity, what is not – or what is existing capacity.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Okay. And if demand stays, where it is? Or if you sort of view on demand materializes. Would it be fair to say that those new facilities would not be fully ramped up by the end of this year that they may still be a little bit more flex in that footprint?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. But we often have an overlapping footprint, so it's not like Norberg in Southern Germany is a factory that makes a product that no one else can do it. It might have some products that way so our objective with the Southern Germany factory has been to ramp it up to full capacity as soon as we can because it's very, very good asset and then we take a few other shifts off in other factories, yeah?

So, we work with the network model where the factories are nodes and then we have the customers spread out. And then we optimize the network. So it's just slightly different business model I suppose to that you say. Now, we build a factory for this product and then we fill it up. Romania, for example, we were supplying a lot into Romania

and we very quickly ramped it up. And then we brought some capacity home to Croatia. And that capacity we use in Italy. You see, so it's very, very difficult to talk about an independent asset. I guess an independent asset where would we have that?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

[indiscernible] (01:07:29)

A

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

No what [indiscernible] (01:07:30) we really don't have independent assets. There is almost always overlap between the service ones of every factory, okay?

A

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

Perfect. Thank you very much. Very useful.

A

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah.

A

Operator: Thank you. Our last...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

...the coordination and the model that we want to run it is a network optimization tool. It's not the individual factory. Of course the factory we may run the factory but we optimize the whole network. Good. Next question?

A

Operator: Our last question comes from Pierre Rousseau from Barclays. Please go ahead.

Pierre Rousseau

Analyst, Barclays Investment Bank

Yeah. Thank you, everyone. The first question would be on the pricing strategy. It seems that your competitors have high inflation. It seems that you have one, two years of good demand growth. So, is there any way for you to get more than moderate price increases? And do you think there could be upside there?

Q

The second question is on the margin guidance. To me, it seems that if you achieve the top-line revenue growth that you guide for, the margin guidance looks quite conservative. So, I was wondering if you could explain the various cost items that could impact your margin negatively this year, I think maybe the supply bottlenecks from freight costs and some cost inflations and if you do have any quantification of the margin impact of the one-offs this year that would be helpful. Thank you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Okay. Pierre, so I take the pricing and I hand the margin one because a lot of it is startup cost and depreciation and loading level, so Kim will take that. On the pricing, we want to be a long term. We have talked about the drumbeat pricing model approach over the last five, six years. And we have done that, some years a bit more, some years, but every year something. And we tried to reflect the margin over there. There's absolutely an opportunity to work out and increase the price. I think I could increase the price with a higher percentage if I wanted and get it to the bottom line this year.

But my objective, Pierre, is the drumbeat pricing with a clear logic to how we price. And the fact that every year we come with a price increase reflecting inflation and the market value of the product. And that's how we see it. And I'm not – I don't want to step out of the year but inflation made us look like a company that didn't perform. That's not my objective.

But I'm not interested in raising the price with €100 million one year and bring it to the bottom line, as a great pricing in the next year, I have every customer in Europe feeling that they exploited the situation and that's a difference. And some materials in the industry, if you work in one way and how I feel we should work with Rockwool is that way and that means at sometimes I've gone out and done it 2% to 3% price increase when we had deflation historically because I think the profitability level wasn't right of the product. It was underpriced and we did that. And this year, I don't think the challenge is to make price increases. I think it's to be a good supplier and do an appropriate price increase. That's how we see.

Okay. Over to Kim on the margin.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

Yeah. Thank you very much. On the margin, Pierre, in terms of one-offs, you know the sort of the most obvious one is, of course, depreciation coming in. And we have already in our early guidance that from the Norberg plant and from the Ranson plant, there will be additional depreciation very close to 1 percentage point of sales. I think even last – in the February call, we even quantified it around €25 million to €30 million additional depreciation for the full year. Of course, the Ranson plant would only come online in the third quarter. So, you would only see that impact in the second half of the year.

Then we've also said that's the same thing, the situation hasn't changed, that they are start-up costs both for Norberg and for Ranson, that is kind of a one-off in the first period that we start up. And we've always quantified that earlier to approximately 0.5 percentage point margin impact. So, those are sort of the one-offs that we talked about early on, and they haven't really changed. It's the same thing. That means the underlying you can say performance, the guidance upgrade is really not so much different one-offs but it's really the underlying performance that is better than what we have assumed.

Pierre Rousseau

Analyst, Barclays Investment Bank

Q

Okay. Understood. So, you're not seeing a lot of extra costs from bottlenecks like freight or the low inventories or...

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

They have been incorporated in our margin guidance already.

Pierre Rousseau*Analyst, Barclays Investment Bank*

Q

Okay. And then, a very small last one if I may. On the margin step-up in systems, I think in Q4, you had mentioned that there were some mixed impacts in there. And in Q1, we have a very strong margin again. So, if there's a new kind of level that we should expect from you going forward? Thanks.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

I mean the margin in Q1 was really good. Kim and I target what we guided. And then over the year, depending how hedging and price schemes came into place, you can have the margin jump around a little bit with the quarters. But we should deliver the full-year guidance and you might see a quarter that is really, really good and some maybe a little bit lower or you don't see the end of those quarters.

And quite frankly, we don't calculate to that level because we know roughly what's going to happen and we feel confident that guidance will hold and then we don't plan, so we super careful around the market because it's subject to a negotiation when it kicks in. And we don't run amongst the central spreadsheet on every item there. We look at where it's trending and what the end point and the total for the year will be, that's obviously yearly. So, I wouldn't comment the next quarter and the quarter after that in terms of margin to say that we feel good about the bottom line guidance we have done and we want to deliver that one, okay?

Pierre Rousseau*Analyst, Barclays Investment Bank*

Q

Perfect. Thank you and congratulations.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Thank you, Pierre.

Operator: Thank you. There have been no further questions, so I hand over back to the speakers for a final remark.

Thomas Harder*Director, Group Treasury & Investor Relations, Rockwool International A/S*

Thank you. Please be informed that on 8 June, the Rockwool Group will hold the next Investor Conference call dedicated to ESG topics. Thank you for joining today's earnings call.

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